also may deter further unwanted actions, but they still have uncertain and possibly inadvertent consequences.[81] Moreover, Iran and Russia are very different cases, as Russia is larger economically and more integrated into the global economy.[82]

Eager to avoid a disruption of the global economy or the interruption of oil and gas flows to Europe given its reliance on Russian energy imports, the financial sanctions, beginning in March 2014, first targeted individuals close to Putin, freezing their financial assets in the West and imposing travel restrictions. Then came sectoral sanctions focusing on pressure points on Russian financial, energy, and defense firms with close government ties. U.S. sanctions restricted their access to Western markets, credit (especially dollar financing), and technology, including equity or debt instruments with a maturity longer than 30 days, effectively closing the capital markets to Russian corporates; and U.S. firms were blocked from doing deals with Russia on deepwater, Arctic offshore, or shale projects.[83] The downing on July 17 of Malaysia Airlines Flight 17, with many European passengers onboard, by a missile launched from pro-Russian separatist-controlled territory in Ukraine, catalyzed the EU to coordinate with the US on the harsher sectoral sanctions, prohibiting financing to targeted Russian firms with a maturity exceeding 90 days.[84] In November, after North Atlantic Treaty Organization (NATO) reports that Russian military equipment and troops had moved into Eastern Ukraine, there were additional asset freezes and travel bans. Periodically, new sanctions are added to signal businesses (particularly the financial sector in Europe and China) of the potential costs of doing business with Russia. Unable to refinance their external debt obligations, many Russian firms were forced to repay, causing a sharp rise in net private capital outflows in 2014. Trade between Russia and the European Union declined significantly in the sanctioned sectors, and the near-term prospects were dimmed, as countries imposing the sanctions accounted for 80 percent of foreign direct investment (FDI) in Russia.

Still, Putin didn’t blink. The Russian economy did not collapse, sanctions did not diminish current Russian hydrocarbon production, import substitution benefited important protectionist constituencies that “rallied round the flag,” and the Kremlin bailed out the sanctioned firms.[85] Putin gained greater control as sanctions “weakene[d] the relatively independent and modern part of Russia’s economy” and Russia’s Western-oriented economic elite and internationalists, while strengthening Russian nationalists and isolationists.[86]